

Customer Risk Assessment Framework

Risk Management Division — Reference RMD-CRA-002 | Version 2.1

1. Risk Score Methodology

The Customer Risk Score is a composite index between 0.0 and 1.0 that quantifies the probability of a customer engaging in financial crime. Scores are computed by the Risk Analytics Engine using the following weighted factors:

Transaction Behavior (40%): Frequency, size distribution, counterparty diversity, and velocity of transactions. Unusual patterns such as round-number transactions, structured amounts, or sudden spikes in activity increase the score.

Customer Profile (30%): Country of residence, occupation, account age, PEP (Politically Exposed Person) status, and source of wealth declarations.

Network Exposure (20%): Connections to known high-risk entities, counterparties with elevated risk scores, or involvement in flagged transaction chains.

Account Type (10%): Brokerage and investment accounts with high turnover carry a higher base risk than standard savings or checking accounts.

2. High-Risk Customer Designation

A customer is automatically designated High Risk Customer (HRC) when their composite risk score reaches or exceeds 0.80. Upon HRC designation:

- Immediate notification is sent to the customer's assigned financial advisor.
- The account is flagged in the transaction monitoring system for enhanced surveillance.
- All outgoing transactions over \$5,000 enter a 48-hour review queue.
- The compliance team receives an HRC alert within one business day.

Customers with a risk score between 0.90 and 1.00 are classified as Critical Risk and require escalation to the Chief Compliance Officer within 24 hours of designation. All transactions from Critical Risk accounts are subject to real-time monitoring.

3. Advisor Portfolio Risk Concentration

Financial advisors are responsible for monitoring the aggregate risk profile of their managed client portfolios. Portfolio risk concentration rules:

3.1 Maximum HRC Concentration: No single advisor's portfolio should exceed 50% High Risk Customers. An advisor whose portfolio reaches 50% HRC triggers an automatic portfolio review.

3.2 100% HRC Portfolio: An advisor managing a portfolio where all clients are classified as High Risk is in violation of portfolio diversification requirements and must be reviewed by the Head of Compliance within five business days. This scenario is treated as a potential systemic risk indicator and may indicate deliberate accumulation of high-risk clients.

3.3 Annual Certification: Advisors must certify annually that they have reviewed all client risk scores, completed required EDD for HRC clients, and reported any suspicious activity.

3.4 Advisor Indirect Risk Exposure Score: Each advisor is assigned an indirect risk exposure score calculated as: (number of HRC clients divided by total clients) multiplied by the average HRC risk score. Advisors with an indirect exposure score above 0.70 are subject to enhanced supervision and mandatory quarterly reporting to the compliance team.

4. Network Risk Analysis

Beyond individual customer scores, the risk framework evaluates network-level risk patterns:

4.1 Risk Contagion: A low-risk customer (score below 0.30) who directly transacts with a high-risk customer (score above 0.80) must have their risk score reviewed within 30 days. The transaction creates a contagion flag in the system. If the low-risk customer conducts three or more transactions with high-risk counterparties within a 90-day window, their risk score is automatically escalated.

4.2 Circular Transaction Patterns: Three or more accounts forming a closed transaction ring (Account A sends to B, B sends to C, C sends back to A) represent a high-priority fraud indicator regardless of individual account risk scores. All participants in a detected ring are automatically elevated to medium risk (minimum score 0.50) pending investigation.

4.3 Hub Accounts: Accounts receiving funds from two or more distinct sources and simultaneously distributing to two or more distinct destinations are classified as hub accounts. Hub account behavior combined with a customer risk score above 0.40 triggers a hub investigation flag.

4.4 Blast Radius Assessment: When a Critical Risk customer (score at or above 0.90) is identified, the compliance team must map all accounts and customers reachable within two transaction hops. This blast radius assessment determines the scope of potential contamination and identifies which other customers may require immediate EDD review.

5. Risk Score Review and Appeals

5.1 Periodic Review: Risk scores are recalculated monthly for all customers. HRC customers are reviewed weekly. Critical Risk customers are reviewed daily.

5.2 Advisor-Initiated Review: An advisor may request an expedited risk score review for any client by submitting a Risk Review Request (RRR) form to the Risk Analytics team. Reviews are completed within 10 business days.

5.3 Customer Appeals: Customers have the right to appeal their risk classification. Appeals must be submitted in writing and are reviewed by the Customer Risk Appeals Committee within 30 days.

5.4 Regulatory Disclosure: Risk scores and HRC designations are not disclosed to customers except in jurisdictions where local law requires disclosure.